

Alphabet Inc.

GOOGL NASDAQ

Buy	\$337.76 ▲ 0.82%	12M Price Target \$385.00	52-Week Range \$224.79 – \$408.61	Market Cap \$4.13T
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GOOGL: Ad Tech Breakup Dodged, Bulls Back in Charge

WHAT HAPPENED

- A federal judge just rejected the DOJ's push to force Google to sell off its ad exchange (AdX) — this was the "nightmare scenario" hanging over the stock for two years. The market yawned a bit (only +0.82%) because it was partially priced in after the August rally, but this removes a massive overhang.
- Berkshire's Greg Abel confirmed they bought GOOGL at a ~6.5% discount — meaning Buffett's team is officially in the name. That's a validation stamp that will pull in more conservative institutional money.

WHY IT MATTERS

The ad tech ruling is bigger than the muted price reaction suggests — Alphabet's ad business generates ~75% of revenue, and forcing a divestiture would have permanently impaired the earnings power. Now analysts can model GOOGL as an intact franchise + AI upside, which usually leads to earnings estimate hikes over the next few weeks. The options flow tells you smart money sees this: a 0.26 put/call ratio (meaning traders are buying nearly 4 calls for every put) plus 39,000+ unusual call contracts at the \$337.5 strike screams "someone's positioning for a breakout." Combined with Berkshire's disclosed buying, the setup here is: legal overhang gone + Buffett stamp + AI narrative intact = the path of least resistance is up.

POLICY & POLITICAL WATCH

The bigger regulatory fight is still the Search antitrust remedy phase — the judge already ruled Google is a monopolist, and remedies (potentially forcing Chrome divestiture or default-search deal changes) are being decided this fall. The AdX win suggests the courts are skeptical of structural breakups, which is bullish for how the Search remedy will land. Also watch the Trump administration's AI executive orders — the current White House has signaled it wants US AI champions to win globally, which means less regulatory heat on Alphabet's Gemini/DeepMind buildout and potentially more federal cloud contracts flowing to GCP.

IS IT EXPENSIVE?

At ~34x forward earnings (meaning you're paying \$34 for every \$1 of profit expected next year), GOOGL trades at a premium to its 5-year average of ~24x but at a discount to MSFT (~36x) and well below NVDA (~45x). That's reasonable given Cloud is growing 30%+ and the antitrust discount is now fading. The stock at 61% of its 52-week range means there's still room to run to prior highs of \$408 before you're chasing.

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

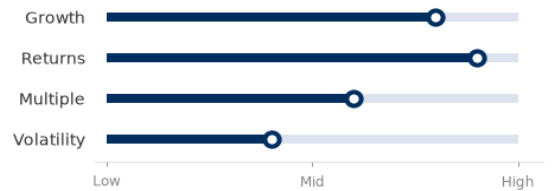
AI-Generated Pre-Market Brief | 2026-09-02 16:49 UTC

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Key Data

Price (USD)	\$337.76
12M Price Target	\$385.00
Upside / (Downside)	+14.0%
Market Cap	\$4.13T
FY2026E Revenue	\$415M
FY2027E Revenue	\$468M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.40
Fwd P/E	34.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$360.00	\$345.00	\$320.00
6 Months	\$400.00	\$370.00	\$310.00
1 Year	\$430.00	\$385.00	\$290.00
2 Years	\$500.00	\$430.00	\$275.00
5 Years	\$700.00	\$550.00	\$300.00
10 Years	\$1100.00	\$800.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+1.77% today) is leading — the GOOGL ad tech ruling lifts META and other ad-dependent names because it signals courts won't break up the ad ecosystem. Materials leading too (+1.81%) suggests some cyclical risk-on tone.

COOLING OFF: Energy has been the 5-day winner (+3.98%) but is stalling today — money looks like it's rotating out of the summer energy trade back into growth/tech.

ROTATION WATCH: Cash is flowing from defensive/energy back into mega-cap tech now that the antitrust cloud is lifting from GOOGL specifically. Watch if this is the start of a broader "regulatory clarity" trade in Big Tech.

RELATED PLAY: If GOOGL runs, the picks-and-shovels are cloud infrastructure (data center REITs like EQIX, DLR) and the AI chip supply chain — the same Nvidia partnership story from overnight news reinforces this.

WHO'S WINNING IN THIS SPACE?

- META (Meta Platforms): Benefits from the same ad tech ruling logic — if Google's ad empire stands, Meta's is even safer
- MSFT (Microsoft): Cloud + AI narrative continues to work, and enterprise spending on Copilot is holding up

GOOGL CONTEXT: GOOGL has been lagging MSFT and META YTD because of the antitrust overhang. With that mostly gone, GOOGL is the "catch-up trade" in mega-cap tech — which is exactly what Berkshire's entry signals. Expect relative outperformance over the next 2 quarters.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Not quite pounding the table because Search remedy phase still looms, but the risk/reward just materially improved.

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a trade. The dividend + buyback + AI optionality justifies a real weight.

ENTRY POINTS: Add on pullbacks to \$325-335. Any macro-driven selloff below \$320 is a gift — that's where I'd go overweight.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is the Search remedy ruling this fall and Q4 Cloud growth confirmation.

WHEN TO BAIL: Exit if DOJ wins on appeal of AdX, if Cloud growth drops below 20%, or if Search ad revenue goes negative YoY — any of those breaks the thesis.

HEDGING: Buy cheap out-of-the-money puts (10% below current price) expiring after the Search remedy ruling — think of it as insurance that costs ~1% of your position for peace of mind.